

AuthorsLab Price Architecture

Options Paper V1

AL-PC-OPT-001 · 2026-07-28 · AL Pricing Chat · **For decision: Paul**

Inputs: AL-SIS-PRR-001 (market research) · AL-PC-PBR-001 (prosumer bracket) · AL-PC-FM-001 V0.1 (financial model). All modelled figures run every option through **identical** funnel, churn and COGS assumptions from the V0.1 skeleton — so differences are architecture effects only. The model cannot see price elasticity; where an option's realism depends on it, that is flagged. Van Westendorp on the beta cohort + waiting list is the instrument that closes elasticity, as lmo_ledger closes cost.

PD-1 · Tier count and price points (the headline decision)

Option	Shape	M12 MRR	M36 MRR	M36 writers	M36 GM%	36-mo cum EBITDA
A	3 tiers £10 / £19 / £39 monthly; annual eff £7 / £13 / £27 (~30% disc)	£2,770	£27,128	1,573	54.6%	–£178k
B	3 tiers £12 / £24 / £45 monthly; annual eff £7 / £13 / £25 (~45% disc)	£3,079	£30,791	1,573	58.7%	–£142k
C	2 tiers £19 / £39 (no Starter); ~30% disc	£3,541	£36,904	1,704	49.9%	–£145k

Reading the table honestly. B beats A on every line *only because its prices are higher at unchanged conversion* — the model is blind to the customers a £24 sticker loses. C's MRR lead is similarly flattered twice: identical conversion despite no cheap entry (the bimodal market's 44% ≤\$100/mo earners have nowhere to land), and its writer count is higher only because the high-churn Starter tier no longer exists to churn. C also has the **worst** gross margin — its subscriber mix carries more deep-pass allowance per head (avg 5.5 passes vs A's 3.7).

Recommendation: Option A shape, with B held as the Van Westendorp test case. A keeps the £19 flagship anchor (Paul's instinct, validated in-range twice), keeps a Starter answer to the bimodal bottom, and its £19-monthly / £13-annual-effective flagship sits dead-centre in bracket norms (AL-PC-PBR-001 §3.2). Put B's £24 anchor into the Van Westendorp questionnaire — if the cohort tolerates it, B is a straight upgrade; deciding that from a model that can't see elasticity would be guessing.

PD-2 · Billing basis and annual discount depth

The bracket's universal pattern is a high monthly anchor with a 60–67% annual discount (PWA \$360→\$120; Grammarly \$360→\$144). The stress frame's ~30% discounts are shallow by comparison. Modelled: shifting annual take-up from 40% to 25% *raises* revenue under both A and B (monthly payers pay more), but annual prepay is what funds CAC and suppresses churn — the model does not yet reward either effect (V0.2 should link churn to billing period).

Recommendation: advertise the annual price as the headline (the bracket does), state "£13/mo billed annually · £19 billed monthly" — never a bare "£19" — and treat discount depth (30% vs 45%) as a Van Westendorp question, not a modelling question.

PD-3 · Analysis-credit allowances (gated on lmo_ledger)

Provisional: Starter 1 / Author 4 / Pro 10 deep passes per month, 60% assumed utilisation. Benchmark: PWA sells Chapter Critique at 1/day for \$10–30 — nominally far more generous, but *its* unit cost is invisible while ours is about to be measured. The sensitivity that matters: **at £3/pass (placeholder) Option A runs 54.6% gross margin; at £6/pass it collapses to 20.8%** and cumulative EBITDA worsens by £117k. Allowance sizing is therefore an instrument reading, not a taste decision.

Recommendation: decide tier *structure* now, hold allowance *numbers* open until the first month of lmo_ledger aggregates lands, then size allowances so flagship gross margin clears 70% at measured cost. If a full

five-station pass proves expensive, meter by station-pass rather than full-journey pass — the ledger records per-station, so the product can price per-station.

PD-4 · One-time pass (the funnel product)

The verified one-time band is \$59.99–\$147 (Scrivener–Atticus; Vellum \$249.99 above it). The current \$299 sits at 2× Atticus. As a *funnel* product its job is conversion, not margin.

Recommendation: reprice to **£119 (~\$150)** — top of band, defensible on journey scope — and credit the pass against the first subscription month if the buyer upgrades within 90 days. Keep free full-manuscript analysis as top-of-funnel (unchanged). The \$2k–\$10k human-services anchor stays on the site (per founding brief §4.4).

PD-5 · Grandfathering the 11 beta authors

Cursor's 2025 repricing burned loyal users by moving the meter without grandfathering — the research's one named cautionary tale. Options: (i) free for 12 months then full price; (ii) 50% of Author for life; (iii) free 6 months then 50% for 12. Modelled difference between them over 36 months is < £2k — **this decision is reputational, not financial.**

Recommendation: option (ii) — "Founding Author" status, Author tier at £9.50/mo for as long as the subscription stays active, announced *before* the pricing page changes, with their current one-time entitlements honoured in full. Cheap forever, and it converts the transition cohort into references for the September deck.

PD-6 · Imprint SKU shape (frame now, decide in September)

Not decidable before the Jacky Klein conversation — the open question from AL-SIS-PRR-001 §7 ("per-seat, per-title, or list pricing?") belongs to them. Frame to carry in: per-title (Hederis pattern, \$119–199/title, bundling down at volume) suits list-driven imprints; seats-with-minimum (Consonance, £75/seat × 8 min) suits team-driven ones. Floor stance: the conversation prices against **Consonance's £600/mo**, entered at £500/mo placeholder in the model; do not open below £250 (bottom of researched range). Imprint COGS line is INSTRUMENT-PENDING until a first imprint runs real manuscripts.

Decision sheet

#	Decision	Recommendation	Paul's call
PD-1	Tier count & points	A: £10/£19/£39, Starter retained; test B's £24 anchor in Van Westendorp	■
PD-2	Billing display & discount	Annual-first display; discount depth 30% now, test 45%	■
PD-3	Credit allowances	Structure now (1/4/10 provisional); numbers after first lmo_ledger month, sized to ≥70% GM	■
PD-4	One-time pass	£119, credits toward first sub month within 90 days	■
PD-5	Grandfathering	Founding Author: £9.50/mo for life of subscription, announced pre-change	■
PD-6	Imprint SKU	Frame per-title vs per-seat; decide with Jacky Klein; floor £250, target vs £600	■

Sequencing note. PD-1/PD-2 gate the website messaging delta and the deck; PD-3 gates nothing until the ledger reads; PD-5 should be announced before any public pricing change; PD-6 waits for September by design.

Method note: modelled figures from a Python replication of AL-PC-FM-001 V0.1 formulas (verified equal to the workbook's recalculated output for the baseline). Elasticity unmodelled — flagged wherever it bites.